

Water Loss Claim Strategy Report

899 Virginia Park St, Detroit MI 48202 • Prepared July 11, 2026

Claim #	061004792 (Liberty Mutual)	Date of loss	02/26/2026 - Freezing
Policy	OX6720664 - American Economy Ins.	Deductible	\$5,000
Coverage A limit	\$776,800	Claim rep	Rosanne Henrichs (509) 944-8694
RCV issued	\$179,578.08	Estimator	JC Windmueller (406) 214-0908
Net paid now	\$147,936.85 (ACV less deductible)	Recoverable dep.	\$26,641.23 on completion

Bottom line

Liberty's estimate is fair on what it scopes and generous on flooring, but it is a **partial-scope** estimate. It carries full oak floor replacement (~\$46.7K), the complete boiler and radiator system per the HVACi report (\$37K with O&P), and full interior repainting - yet it prices plaster replacement on only about 18% of the wall/ceiling surface, carries **\$0.00 for electrical rewiring** (left as an open item pending city inspection), \$0 for permits, and nothing for mold remediation, lead-safe work practices, or contents pack-out.

Independent planning ranges for the full scope run **\$213K-\$414K** direct cost on a drywall-finish basis and **\$274K-\$532K** on a like-kind plaster basis, versus Liberty's \$148K direct (\$179.6K with tax and O&P). The difference is scope, not unit pricing - which is good news, because scope is documentable and Liberty's own estimate already establishes agreed unit prices that can simply be extended to larger quantities.

The policy limit (\$776,800) is not a constraint. The three levers, in order of value: **(1)** a room-by-room plaster condition survey (up to ~\$160K swing), **(2)** the City of Detroit electrical inspection that unlocks the knob-and-tube rewire supplement (~\$20-47K), and **(3)** a mold/moisture inspection given the four-month gap between loss and adjuster inspection (~\$25K).

Three findings that drive everything

#	Finding	Why it matters
1	Plaster is spot-scoped. Example: Living Room carries 66 SF of wall plaster against 625 SF of walls. Whole-house: ~2,000 SF scoped of 11,112 SF surface.	If demo shows keys sheared beyond the patches, extending Liberty's own unit rates (\$6.82/SF walls, \$7.80/SF ceilings, plus lath) to the real quantity is the single largest supplement.
2	Electrical line item = \$0.00, noted 'Open Item for possible code related electrical rewiring needed following city inspection.'	Liberty invited this supplement. It only converts to money with a written City of Detroit inspection scope - obtained while the walls are open.
3	Loss 02/26; adjuster inspection 06/22. Four months of wet plaster and cavities, and the estimate contains zero remediation lines.	An IICRC/hygienist report during demo documents mold if present. Resulting mold from a covered water loss is typically covered - verify the policy sublimit.

Where the Money Is

Division comparison (direct costs)

Division	Liberty direct \$	Planning low	Planning high	Read
Mechanical	\$33,722	\$25,000	\$45,000	Covered well - HVACi boiler + radiators in full
Electrical	\$837	\$34,000	\$65,000	\$0 open item - largest gap
Structural / Env.	\$274	\$8,000	\$45,000	No framing, no mold, no hazmat lines
Architectural	\$111,308	\$140,000	\$360,000	Floors generous; plaster spot-scoped; no RRP or insulation
Furnishings	\$1,885	\$8,000	\$18,000	Pack-out/contents absent - pursue under Coverage C
Total direct	\$148,026	\$213,000	\$533,000	Ranges span drywall-alt (low) to full like-kind plaster (high)

Liberty adds 6% Michigan sales tax on materials plus 10% overhead and 10% profit on top of direct cost. Apply roughly +26% to the planning columns when comparing to their \$179,578 RCV.

Payment waterfall (as issued 07/10/2026)

Replacement Cost Value (RCV)	\$179,578.08
Less recoverable depreciation	(\$26,641.23)
Net ACV on Coverage A	\$152,936.85
Less deductible	(\$5,000.00)
Net check today	\$147,936.85
Net if depreciation recovered	\$174,578.08

The \$26,641 depreciation is recoverable: keep every contractor invoice and submit at completion. Do not settle for ACV by inaction - that is a 15% haircut for missing paperwork.

Question priority - biggest dollar swings

ID	Question (short form)	Swing high
Q-A1	Room-by-room plaster tap test: delaminated vs paint-damaged	\$160,000
Q-G6	Virginia Park historic district review - can mandate like-kind plaster	\$60,000
Q-E1	Knob-and-tube extent (whole house? basement?)	\$47,000
Q-G4	Union vs open-shop labor basis for pricing	\$30,000
Q-F3	Recoverable depreciation paperwork	\$26,641
Q-S2	Mold / hygienist inspection	\$25,000
Q-A4	Ornamental plaster (crown runs, medallions, arches)	\$20,000

Full 33-question checklist with all swing values lives on the Questions tab of the RS Means Assessment Workbook.

Action Checklist - What To Do Next

In priority order. Each item says what to do, who does it, and what document it produces. The theme: **document everything while the walls are open** - every supplement stands on paper.

1. Do NOT close walls or authorize final finishes yet

Who: Owner / GC **When:** Immediately

Every open-wall day is leverage. Rewire, mold documentation, and plaster scope all depend on exposed cavities. Tell the GC that demo proceeds but wall closure waits for items 2-5.

2. Schedule the City of Detroit electrical inspection

Who: Licensed electrician pulls the request **When:** This week

BSEED (Buildings, Safety Engineering & Environmental Dept). Ask the inspector for a **written scope** of code-required corrections - knob-and-tube, service size, AFCI/GFCI, smoke/CO. That letter converts Liberty's \$0.00 line 3 into a priced supplement. Get 2-3 electrician quotes against the letter.

3. Commission a mold/moisture inspection

Who: IICRC-certified firm or industrial hygienist **When:** Before/during demo

Moisture-map all four levels, photograph cavities as they open, lab-sample anything suspect. Deliverable: a written report with affected square footage. Send to Rosanne Henrichs with a supplement request the same week. Ask her in writing what the policy mold sublimit is.

4. Run the room-by-room plaster survey (Q-A1)

Who: GC + owner, 2-3 hours **When:** During demo

For every room: tap-test walls and ceilings, mark delaminated zones with painter's tape, photograph with a tape measure in frame, log SF per room in a simple table (room / wall SF failed / ceiling SF failed). This table plus photos is the plaster supplement. Use Liberty's own unit prices - do not argue rates, argue quantity.

5. Asbestos and lead testing

Who: Licensed environmental testing firm **When:** Before further demo

Sample plaster (2-3 locations per floor) and the boiler pipe lagging. XRF for lead on trim and walls. Required by Detroit ordinance pre-demo; a positive lagging result must be abated before boiler replacement. Costs are claimable - submit invoices.

6. Verify the sketch dimensions (Q-A3)

Who: Owner, 20 minutes with a tape **When:** Any visit

Measure first-floor ceiling height. Xactimate sketches say 8'-0" everywhere; if floor 1 is actually 9', Liberty's wall areas are understated ~12% on that floor and every SF-based line item follows. Email the correction with a photo of the tape measure.

7. Confirm historic district requirements (Q-G6)

Who: Owner - one phone call **When:** This week

Virginia Park is a local historic district. Call Detroit's Historic District Commission and ask whether interior work triggers review and whether like-kind finishes are required. If HDC mandates plaster, the like-kind argument stops being a negotiation.

8. Radiator count and salvage assessment (Q-M3)

Who: Heating contractor during boiler quote **When:** With item 2 visit

HVACi carried ALL radiators at \$15,472 lump sum. Count units, note sections/EDR, pressure-test which actually cracked. If more than ~12 units or larger EDR, supplement; if several survived, expect Liberty to true-down - know the number before they do.

9. File the contents / Coverage C claim (Q-F1)

Who: Owner with claim rep **When:** Parallel track

Pack-out, storage, contents cleaning, and damaged items are absent from the dwelling estimate. They belong under Coverage C and ALE (if the house is uninhabitable) - separate limits, separate check. Start the inventory now; photos of every room before pack-out.

10. Set up the paper trail for depreciation recovery (Q-F3)

Who: Owner **When:** Ongoing

One folder (or Teams/SharePoint library): every invoice, permit, inspection card, and cancelled check. Submit at completion to recover the \$26,641.23. Also confirm with Rosanne the deadline - many policies require completion within 1-2 years of the loss date (02/26/2026).

How To Run the RS Means Validation

Use this if the supplement conversation stalls and you need independently sourced pricing. It pairs with the **RS Means Assessment Workbook** (Means Grid tab).

Step 1 - Get access

RSMeans Data Online (rsmeans.com) - a single-user Core subscription is enough, or use a library/university copy of the printed books. You want: **Residential Repair & Remodeling Cost Data 2026** for most lines, and **Building Construction Cost Data (BCCD) 2026** for the boiler and electrical service.

Step 2 - Set the location factor

Look up the current Detroit **City Cost Index** (CCI) in the reference section and enter it in cell F4 of the Means Grid. My 1.05 is a placeholder. Note whether you are using the residential or commercial index - use residential.

Step 3 - Work the grid top to bottom

For each line: search the CSI section shown in column B (e.g., 09 23 20 for gypsum plastering), pick the line that matches the field conditions from the Questions tab (wood lath vs metal, 3-coat vs 2-coat), and copy the Means line number, crew, daily output, and bare costs into columns J-O. Enter 'Total Incl O&P' in column P - the sheet applies CCI and extends automatically.

Step 4 - Apply repair/remodel factors

New-construction productivity does not apply here. Means publishes adjustment factors for cut-and-patch, working in existing/occupied buildings, and minimum labor charges - typically +10% to +30% on labor for this kind of work. Note which factors you applied in the Notes column so the number is defensible.

Step 5 - Compare on the same basis

Means 'Total Incl O&P' includes the installing contractor's O&P but NOT a general contractor's markup. Liberty's RCV = direct + 6% MI tax on materials + 10% + 10%. To compare: take your Means extended total, add GC markup (10/10 to match Liberty, or 18% per the restoration workbook), then set it against \$179,578.

Step 6 - Use it surgically

Do not send the whole grid to the adjuster. Cite 2-3 sourced lines where the gap is largest - each as 'RS Means line [number], 2026, Detroit CCI [x.xx] = \$X/SF vs. carried \$Y/SF.' Adjusters engage with sourced numbers and ignore spreadsheets. Remember the strategic note: Liberty's plaster RATES are already below Means - the fight is quantity (Q-A1), so spend your Means citations on the lines they omitted entirely (rewire, RRP containment, antimicrobial, insulation).

Escalation path if supplements stall

1) Estimator (JC Windmueller) with documentation → 2) claim rep (Rosanne Henrichs) requesting re-inspection → 3) written request for the basis of any denial → 4) appraisal clause in the policy (each side names an appraiser, umpire breaks ties - designed exactly for scope disputes) → 5) licensed public adjuster (typically 10% fee, worth it above ~\$75K of disputed scope) or Michigan DIFS complaint. In Michigan, keep everything in writing; UTPA timelines start from written communications.

Companion files

RSMeans_Assessment_Workbook.xlsx - Takeoff (actual sketch quantities), Means Grid (36 priced lines, low/high planning values, blank Means columns), Questions (33 field questions with dollar swings), Reference (conventions and claim facts).

Restoration_Estimate_RSMeans_Validation.xlsx - division-level model, adjuster comparison, payment waterfall,

supplement strategy.

Prepared from: Liberty Mutual structure estimate (36 pp, 07/10/2026), ConRest contractor-agreed estimate (15 pp), HVACi On-Site Assessment 26-03689365 (03/17/2026), and 2026 national cost guides. Planning ranges are for orientation and negotiation preparation; they are not bids. Confirm coverage questions against the policy language or with a licensed public adjuster / attorney.